Justification for Other Than Full and Open Competition Lease Renewal Option

U.S. General Services Administration

GSA Region 6

Real Estate Acquisition Division | West Leasing Services Branch

JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION

PROJECT NUMBER: 0GA2172

Agency Name: DCAA

1. NATURE AND/OR DESCRIPTION OF ACTION BEING APPROVED.

The General Services Administration currently leases 23,348 ABOA / 25,916 rentable square feet (RSF) of office space at 10 Glenlake Pky N.E., Atlanta, GA 30328-3495 under lease number LGA60309 for DCAA. The current lease expires on 4/30/2025. Approval is requested to negotiate a 5-year / 1-year firm lease renewal option with the incumbent Lessor without full and open competition for continued occupancy at this leased location.

2. DESCRIPTION OF THE SUPPLIES OR SERVICES REQUIRED TO MEET THE AGENCY'S NEEDS (INCLUDING ESTIMATED VALUE).

This requirement is for 23,348 ABOA / 25,916 RSF of space for a 5-year / 1-year firm term to commence on May 1, 2025.

The cost of this lease is $[redacted] per RSF per year for an annual cost of $[redacted] and a total contract value of $[redacted].

The delineated area is:

West – Highway 19
North – Vernon Rd
East – Chamblee Dunwoody Rd / N. Shallowford Rd.
South – Interstate I-285

3. IDENTIFICATION OF STATUTORY AUTHORITY PERMITTING OTHER THAN FULL AND OPEN COMPETITION.

41 U.S.C. 3304(a)(1): Only one responsible source and no other supplies or services will satisfy agency requirements.

4. DEMONSTRATION THAT THE PROPOSED CONTRACTOR'S UNIQUE QUALIFICATIONS OR NATURE OF THE ACQUISITION REQUIRES THE USE OF THE AUTHORITY CITED.

GSAM 570.402-5 allows for negotiation with the incumbent Lessor when a cost benefit analysis shows that the Government cannot expect to recover relocation and duplication costs through competition. PBS placed an advertisement conforming to GSAM 570-402.2 on the Federal Business Opportunities website (fedbizopps.gov) on **April 22, 2025** and received **[1]** response plus the incumbent. The incumbent Lessor's expression of interest indicated that the rate would be **$**[redacted] per RSF. There were no other expressions of interest.

Award to other than the current Lessor would require relocation of the entire requirement and would cause **DCAA** to incur move and replication costs that would not be recovered through competition, as demonstrated by the attached Cost Benefit Analysis.

As detailed in the Cost Benefit Analysis, the cost of relocating **DCAA** using the lowest Lease Comp exceeds the cost of remaining at the current leased location. The savings associated with remaining at the current location are **$**[redacted]. Based on this analysis, the Government cannot expect to recover relocation and duplication costs through competition. Therefore, the Government intends to add a 5-year / 1-year firm lease renewal option and remain at its current location.

5. <u>DESCRIPTION OF EFFORTS MADE TO ENSURE THAT OFFERS ARE SOLICITED FROM AS MANY POTENTIAL SOURCES AS IS PRACTICABLE.</u>

On April 23, 2025, PBS conducted a CoStar search and identified **0** potentially acceptable locations (**1** plus incumbent) that might meet the agency's needs within the delineated area. The CoStar search did identify 2 lease comps that were used to establish a market range for the negotiation objectives. Detailed results are shown in Section 7, below.

6. <u>DEMONSTRATION BY THE CONTRACTING OFFICER THAT THE ANTICIPATED COST TO THE GOVERNMENT WILL BE FAIR AND REASONABLE.</u>

In accordance with Federal Acquisition Regulation (FAR) 6.303-2(a) (7), the Contracting Officer determines by certifying this document that the anticipated cost to the Government of $[redacted] / RSF for the entire requirement is fair and reasonable.

Recent market research shows the rental rate within the delineated area ranges from $[redacted]-$[redacted] per RSF (see attached documentation). Since the anticipated rate is within this range, a fair and reasonable determination is substantiated.

7. <u>DESCRIPTION OF MARKET RESEARCH CONDUCTED AND THE RESULTS.</u>

Market research identified the following three (3) locations, including the incumbent:

Address	Asking Full Service Rental (FSR) Rate	Data Source
10 Glenlake Pky N.E.	$[redacted]	Incumbent
5 Concourse Pky NE	$[redacted]	CoStar Comps
400 Perimeter Center Ter	$[redacted]	CoStar Comps

8. <u>OTHER FACTS SUPPORTING USE OF OTHER THAN FULL AND OPEN COMPETITION.</u>

The current lease satisfies DCAA's current requirements. The additional relocation costs addressed in Section 4 above, along with operational disruptions associated with moving to a short-term lease at another location would negatively impact DCAA's mission. A Government Acquisition Pause has stopped all new lease acquisitions; a 5-year / 1 firm lease renewal is the best strategy to fulfill the agency's housing needs until the Acquisition Pause has been lifted and a long-term solution is complete.

9. <u>LIST OF SOURCES, IF ANY, THAT EXPRESSED, IN WRITING, AN INTEREST IN THE ACQUISITION.</u>

- No sources expressed interest.

10. STATEMENT OF ACTIONS, IF ANY, THE AGENCY MAY TAKE TO REMOVE OR OVERCOME ANY BARRIERS TO COMPETITION BEFORE ANY SUBSEQUENT ACQUISITION.

Consistent with the Competition in Contracting Act, full and open competition will be pursued for the long-term housing requirement.

11. CONTRACTING OFFICER CERTIFICATION

By signature on this Justification for Other than Full and Open Competition, the Lease Contracting Officer certifies that the award of a 5-year / 1-year firm term renewal option of 25,916 RSF is in the Government's best interest and that this Justification is accurate and complete to the best of the Lease Contracting Officer's knowledge and belief.

____ Date______________________

Emily Tinsley, Lease Contracting Officer

12. TECHNICAL REQUIREMENTS PERSONNEL CERTIFICATION

I certify that the supporting data used to form the basis of this Justification is complete and accurate to the best of my knowledge and belief.

____ Date______________________

L. Elaine Henderson, Leasing Specialist